

BE  
BE N/A

|      |                  |                              |                                     |                        |
|------|------------------|------------------------------|-------------------------------------|------------------------|
| Hold | \$295.73 ▲ 9.17% | 12M Price Target<br>\$310.00 | 52-Week Range<br>\$23.75 – \$351.28 | Market Cap<br>\$84.12B |
|------|------------------|------------------------------|-------------------------------------|------------------------|

BE: AI Data Center Fuel Cell Play Goes Parabolic

WHAT HAPPENED

- BE ripped +9.2% today to \$295, capping a wild week where it swung from \$275 → \$302 → \$270 → \$295. The catalyst: Bloom extended its strategic alliance with Brookfield (huge infrastructure investor) AND American Electric Power joined the Bloom expansion to power AI data centers. Translation — two of the biggest names in energy infrastructure just doubled down on BE's fuel cells as THE solution for the AI power crunch.
- The stock is now trading at 83% of its 52-week range (\$23 to \$351) — meaning it's had a moonshot year (roughly 12x from the low). Retail is piling in on "4x rally" narratives while the smart money is already positioned.

WHY IT MATTERS

Here's what's actually happening: AI data centers need MASSIVE amounts of power, and the grid literally cannot deliver it fast enough — utilities are quoting 5-7 year interconnection wait times. Bloom's solid oxide fuel cells can be deployed in ~90 days and run on natural gas, which sidesteps the entire grid bottleneck. That's why AEP (a utility) and Brookfield (infrastructure capital) are aligning — they're monetizing the "power gap" and BE is their picks-and-shovels play. The bigger inference: this isn't a clean energy story anymore, it's an AI infrastructure story, which is why the multiple has exploded. But at \$84B market cap on ~\$2B revenue, the stock is pricing in near-perfect execution — any hiccup in contract conversion and this thing gaps down hard.

POLICY & POLITICAL WATCH

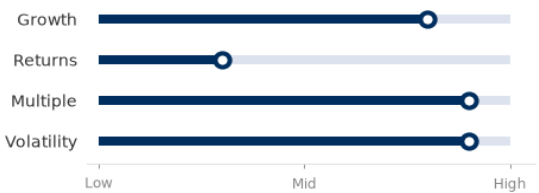
The Trump administration's push to accelerate AI infrastructure and roll back permitting restrictions is a direct tailwind — the July 2025 AI Action Plan explicitly called for fast-tracking power generation for data centers, and natural gas fuel cells qualify. Watch two things: (1) the fate of Inflation Reduction Act fuel cell tax credits (Section 48) — Bloom benefits from the ~30% investment tax credit, and any full repeal would hurt project economics, though most reconciliation drafts have preserved fuel cell credits given bipartisan support; (2) state-level moves in Virginia, Texas, and Ohio where data center power siting rules are being rewritten to allow on-site generation — that's a direct sales pipeline for BE.

IS IT EXPENSIVE?

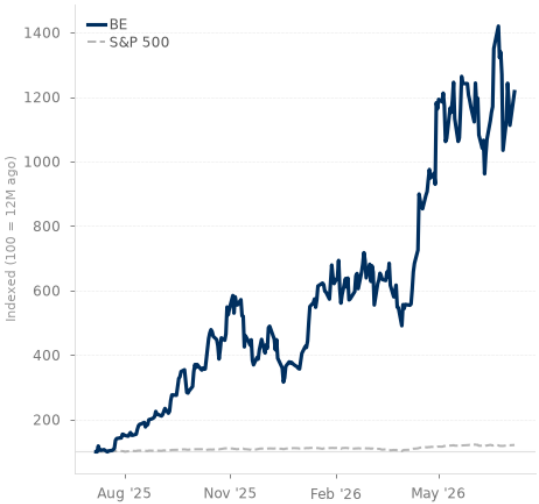
Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$295.73 |
| 12M Price Target    | \$310.00 |
| Upside / (Downside) | +4.8%    |
| Market Cap          | \$84.12B |
| FY2026E Revenue     | \$2,150M |
| FY2027E Revenue     | \$2,850M |
| FY2026E EPS         | \$0.35   |
| FY2027E EPS         | \$0.85   |
| Fwd P/E             | 845.0x   |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$340.00  | \$300.00  | \$250.00  |
| 6 Months  | \$380.00  | \$310.00  | \$220.00  |
| 1 Year    | \$450.00  | \$320.00  | \$180.00  |
| 2 Years   | \$550.00  | \$350.00  | \$150.00  |
| 5 Years   | \$800.00  | \$400.00  | \$120.00  |
| 10 Years  | \$1200.00 | \$500.00  | \$80.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Tech (+2.4%) leading again on AI narrative; Industrials (+2.3% 5D) benefiting from infrastructure spend; anything tied to data center buildouts (power, cooling, networking) is on fire.

**COOLING OFF:** Energy (-1.2% 5D) — ironic given BE is technically classified here. Oil majors aren't participating in the AI power theme; it's a bifurcated market.

**ROTATION WATCH:** Money is flowing from traditional energy into "AI power" hybrids — companies that sit at the intersection of energy and tech (BE, GEV, VST, CEG). This rotation has legs as long as hyperscaler capex keeps climbing.

**RELATED PLAY:** If you like the AI power thesis but want less volatility, look at Vistra (VST) or Constellation Energy (CEG) — they own the nuclear plants powering the same data centers, and they trade at more reasonable multiples.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Riding same AI power demand wave, but with actual profitability and nuclear/gas fleet already in place.
- CEG (Constellation Energy): Locked in Microsoft nuclear deal — the template every hyperscaler is now copying.
- GEV (GE Vernova): Gas turbines are the OTHER solution to the AI power gap; massive backlog.

**BE CONTEXT:** BE is LEADING the peer group in % gains but is also the most speculative — it has the highest multiple and the least proven earnings. That tells us the market is pricing BE as the "highest beta" way to play the theme. If the AI power story keeps working, BE outperforms; if it wobbles, BE falls hardest.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**Position Size:** 2-3% of portfolio

**Entry Points:** \$240-260 on pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** Loss of hyperscaler contract, natural gas policy reversal, or data center power buildout slowdown

**Hedging:** Pair with short position in overvalued AI infrastructure peer